

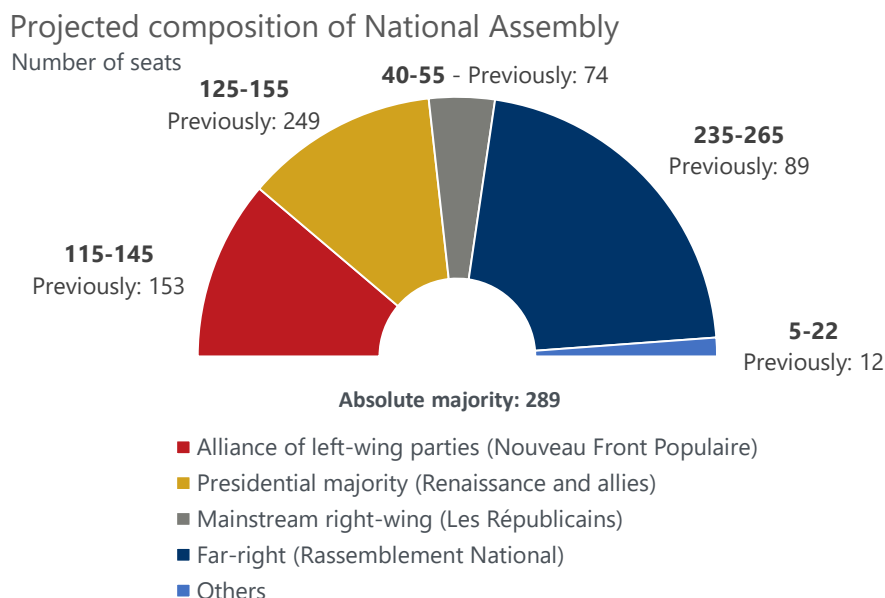
Research briefing | France

Politics takes a leap into the unknown

- **The most likely outcome of the French snap elections is a hung parliament. The far-right Rassemblement National (RN) looks all but certain to register major seat gains after its record win in European elections, mostly at the expense of President Emmanuel Macron's centrist party. This would result in policy paralysis, delaying fiscal consolidation and preventing any meaningful reforms until the next presidential election.**
- **However, an alternative scenario, which should not be discounted, is an absolute majority for the far right. This scenario would result in cohabitation, whereby a prime minister from the RN would be free to set domestic policy, while the role of the president would be relegated to foreign policy and defence. Given the wide policy divergences between Macron and the RN, a resignation of the president would be a possibility.**
- **Whatever the outcome, the gradual fiscal consolidation planned by the current government will be the first casualty of the political crisis, worsening France's already fraught public finances. A divided parliament is unlikely to be able to agree on politically difficult spending cuts, which would result in a higher deficit than our current baseline. Meanwhile, the implementation of the RN platform as it currently stands would add to the public deficit.**
- **Even in the case of a far-right victory, an upheaval in economic policy seems unlikely in the short-term. The party has abandoned its most radical economic ideas such as leaving the single currency. Still, its economic platform of unfunded tax cuts, if implemented, could push government bond yields even higher, after the jump already recorded in the week following Macron's announcement.**

Following a crushing defeat in the European elections held on June 8, in which his party came far behind the far-right Rassemblement National (RN), President Emmanuel Macron opted to dissolve France's National Assembly and hold snap elections on June 30 and a second round on July 7, the earliest possible dates. Macron's surprise move stunned both the opposition and members of his own party, and is likely to plunge French politics into chaos for years.

Chart 1: The few available polls suggest that the far right will be the largest political group



Source: Oxford Economics; Toluna Harris Interactive. Poll conducted for Challenges on 9 and 10 June 2024.

Macron has been governing from a position of relative weakness since the legislative elections in June 2022, in which French voters failed to give his party Renaissance (RE) and its allies an absolute majority of seats in the National Assembly. This forced the government to use the Article 49.3 procedure that allows the prime minister to pass bills unilaterally to push through most of its laws and budgets since 2022. His party's recent thumping defeat in European elections further dented Macron's standing.

Though Macron's government has survived more than 20 no-confidence votes since 2022, the vote on the 2025 Budget was expected to be particularly difficult and may have toppled the government anyway, given the large and politically sensitive spending cuts aimed at reducing France's large public deficit.

Faced with the prospect of potential new elections soon, Macron chose to take the initiative and dissolve the National Assembly immediately, apparently with the hope of benefitting from division among left-wing parties in the wake of the European elections.

Political chaos and policy paralysis is the most likely outcome

France's legislative elections are notoriously difficult to forecast. The selection of the National Assembly is the result of 577 local elections held over two rounds. The dynamics of this process are highly non-linear compared to a simpler proportional representation system. Because of this, voting intentions are a poor guide to the composition of the eventual Assembly, as are European election results.

Predicting the result is made all the more difficult by the swiftly changing political landscape. Ahead of the snap poll, political parties are scrambling to forge new alliances, while Macron is fighting to attract a larger share of the centre-left and centre-right to his party.

Still, considering the results of the 2022 election and the recent polls, we think a hung parliament is the most likely outcome in July, with none of the major parties gaining an absolute majority (**Chart 1**). In this scenario, compared to the previous legislature, Macron's party RE would be further diminished, while the far-right RN would register substantial gains at its expense, though it would fall short of an absolute majority. Such a starkly divided Parliament would be

unprecedented in the history of the Fifth Republic. In this configuration, it's hard to see how a coalition between the major parties needed for a stable government could be formed. So this scenario would likely result in enduring political instability and policy paralysis. A prime minister from the far right would likely still have to be appointed by the president if the RN has a relative majority, i.e., if they become the largest party, but without an absolute majority. However, the prime minister would be severely constrained by the lack of a majority, and would be at the mercy of motions of no-confidence from the Assembly. Consequently, with no clear mandate, another election could be needed to break the impasse, although the president would need to wait at least one year to dissolve the National Assembly again.

An alternative potential outcome is that the RN gains enough seats to govern on its own, or in coalition with some MPs from the mainstream right-wing parties. France would then enter a situation of 'cohabitation', as happened in 1986-1988, 1993-1995, and 1997-2002. The government headed by a far-right prime minister would effectively set domestic policy, while the role of the president would be confined to foreign policy and defence. In this scenario, the RN would be free to implement the near all of its domestic agenda. Given the large policy divergences between Macron and the RN – far wider than they were during previous cohabitations – this could also lead to the resignation of the president.

In an outlier scenario, Macron's gamble pays off and his alliance gains seats as voters mobilise to fend off a far-right majority. Macron could then use his strengthened legitimacy to continue to pursue his legislative priorities even without an absolute majority. The likelihood of this outcome is particularly low due to the fact that left-wing parties appear have united ahead of the election, which will offer non-far-right voters an alternative to Macron's party in the second round of the election in many constituencies.

In all cases, the left-wing parties (LFI, EELV, PS, PCF) will probably obtain a substantial number of seats, considering they have managed to forge an alliance, as in 2022. However, they seem unlikely to gain sufficient seats to form a new government and will likely remain in the opposition.

Politics takes a leap into the unknown

Fiscal consolidation will be the first casualty of the political crisis

The political developments are likely to put an end to fiscal consolidation efforts by the current government aimed at improving France's fraught public finances. France's public deficit reached 5.5% of GDP in 2023 and public debt is 111% of GDP. Given these deteriorated metrics and the difficulty of reining in public spending, we think that France is currently among the eurozone countries facing [the most severe fiscal challenges in the medium term](#). Short-term fiscal risks are limited though, as debt servicing costs remain historically low and France benefits from a deep and liquid bond market.

The current government wants to find €20bn in spending cuts for 2025, adding to the reductions already enacted in 2024. These cuts, which are largely reflected in our current baseline, are needed to reduce the public deficit, though it would still remain elevated in the near term. Our latest forecast puts it at 4.1% in GDP in 2025, close to the government's own April forecast.

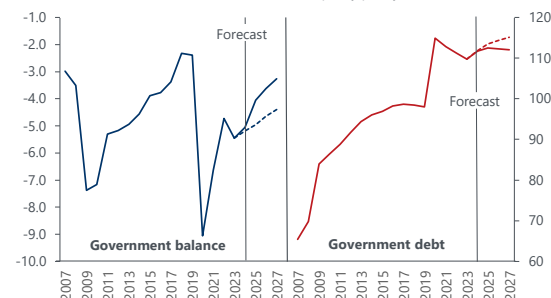
A divided Parliament will find it even harder to agree on major spending cuts. So, considering the political difficulties and that no major party apart from RE has made fiscal consolidation a priority, they are unlikely to happen any time soon.

Meanwhile, the RN's programme favours substantial tax cuts, although no source of funding has been clearly identified yet. Implementing these would have a negative impact on the public balance. In 2022, before the last presidential election, [our analysis](#) suggested that a Le Pen victory would cause public debt to reach 154% of GDP by 2027, though this is a maximum estimate based on a full implementation of the original RN programme. Similarly, a centre-right French think tank estimated in 2022 that the RN programme would have a net cost of €102bn (3.6% of GDP) per year. In this light, an RN majority would be a downside risk for the fiscal outlook, even compared to the alternative policy paralysis.

Chart 2: The public finance outlook is likely to get even worse than in our current baseline

France: Government balance and debt

% of GDP - Full line: current baseline; dashed line: policy paralysis scenario



Source: Oxford Economics, Haver Analytics

In the absence of fiscal consolidation, the government deficit would remain close to 5% in 2025 (**Chart 2**). As a result, France's public debt would peak higher and later than in our current baseline. In the short-term, higher public expenditure will lift GDP growth through higher government consumption and higher household income, which will feed into stronger private consumption. However, lower confidence might dampen this effect.

The lack of consolidation would also put France on a collision path with [the EU's new fiscal rules](#), given that the European Commission is already expected to kick-start the process of putting France under an Excessive Deficit Procedure this week. Given the policy uncertainty, it's hard to forecast the medium-term fiscal path. But bringing the deficit back to the 3% level consistent with the new EU fiscal rules does not appear feasible by 2027.

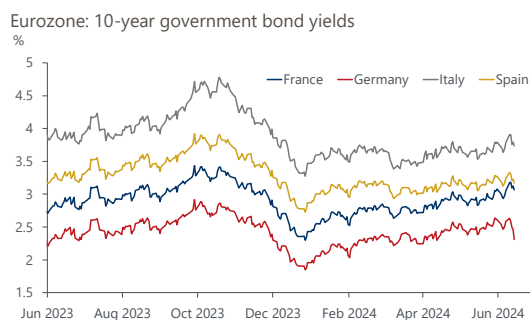
Reflecting the deteriorated public finance outlook and political uncertainty, French government bond yields have risen since the announcement of the dissolution of the National Assembly (**Chart 3**). They are likely to go even higher should the RN gain an absolute majority in July, partly offsetting the impact of a positive fiscal impulse on the economy and further worsening the fiscal outlook. The political crisis could also lead to another downgrade of France's credit rating, following S&P's decision earlier this month to take France's rating down a notch, from AA to AA-. Moody's, the only major agency not to have downgraded France recently, issued a warning to this effect after Macron's announcement, justified by the weakened commitment to fiscal consolidation.

The risks of contagion to other eurozone countries can't be completely discounted either.

Politics takes a leap into the unknown

Yields in the so-called periphery countries shot up last week alongside France's, with a flight to safety to Germany and the Netherlands. Still, we believe these fears may be overdone, given that the periphery countries' fundamentals are more solid than in the 2010s and that market stress mostly reflects France-specific factors, rather than structural weakness in the eurozone.

Chart 3: French government bonds yields rose after Macron's announcement



Source: Oxford Economics, Macrobond

Economic policy unlikely to be transformed in the short-term, even if the far right wins in July

The divided Parliament that we see as the most probable outcome would lead to policy paralysis, meaning planned fiscal consolidation and structural reforms would fail to be implemented. However, the risk that Macron's previous reforms will be reversed appears low.

Meanwhile, a far-right absolute majority would be a leap into the unknown for France and would likely translate into greater policy uncertainty, wider deficits, and deteriorating funding conditions.

That said, the RN has softened its economic policy stance considerably since 2019, abandoning many of its most radical ideas such as giving up the single currency or leaving the European Union. Its economic platform is now mostly comprised of unfunded tax cuts for both households and corporates. Social benefits criteria would also be tightened to exclude newly arrived immigrants.

Given the deteriorated fiscal outlook, even the RN might be hesitant to implement its most costly measures. There are already hints that it wouldn't implement its full programme if it came to power. In fact, the RN has recently reneged on its ambition to abolish Macron's pension reforms,

while the only tax cut mentioned in the shorter manifesto drafted for the coming legislative elections is a reduction in VAT on energy, the cost of which would be around €10bn (0.4% of GDP). The RN also recently pledged to conduct an audit of public finances in its first days in power, the results of which could provide the party with some wiggle room regarding its initial promises. However, the prospect of presidential elections in 2027 could still lead to a politically-motivated increase in public spending.

With the RN in power, the policy focus will likely be put on restricting immigration, the cornerstone of its platform. This could still hurt France's growth in the long run, along with a fall in the country's attractiveness for foreign direct investment.

The consequences of a RN victory would also be acutely felt among the European Union and internationally. Although France's president would remain theoretically in charge of foreign policy in the event of cohabitation, additional spending would still have to go through the National Assembly. For example, this could jeopardise additional support for Ukraine. Overall, the RN is sceptical of further involvement in Russia's conflict with Ukraine, and is opposed to deeper European integration, including new joint borrowing for defence. This is the opposite of the position of Macron, who has championed both themes at the European level. The RN is also opposed to Brussels' involvement more broadly and suspicious of free trade. Many of its proposed measures, such as privileging French companies in public procurement, would directly clash with EU rules if implemented.